

BRIAN MORMAN

Negotiations Cheat Sheet - EMBA 60

- 1) 3D Negotiations – **begin by setting the table**. If you don't like the way a deal is unfolding reset the table. Change the game.
- 2) **BATNA – Best alternative to a negotiated agreement** – build yours reduce theirs.
 - Referring to it can create pressure. Revealing some can improve trust. Don't share it directly.
 - Remember YAHOO – **you always have other options**
- 3) **3 key numbers** – walk-away amount, target point, aspiration point
- 4) ZOPA – **zone of possible agreement** – suss out if one exists and claim the most you can of it.
 - Look for opportunities to negotiate diagonally and increase value for both parties. Create value (Integrative bargaining) and claim value (Distributive bargaining)
- 5) **Appeal to fairness** and tell a story of why the deal works. Build a “Golden Bridge” so they can explain their deal to their team.
- 6) **First offer** when you have more information than the other party. If you can't counter fast and don't fall for even split. Set your anchor point.
- 7) **Don't argue about the future. Bet on it.** Provide incentive for post- settlement efforts.
- 8) Strategy: **Log rolling** – trade something of lower value for something of higher value.
 - Differences in values create opportunities for logrolling.
- 9) Bob White teaches us to use **emotion** intentionally.
- 10) With **more parties** involved, set explicit decision rules, use coalitions and avoid communication breakdown. Remember not everyone may want an agreement.